Topic 11 — Centre–State Relations

Covers syllabus (click to expand)

Legislative, administrative & financial: Legislative Relations (245–255) | Centre's hold on State Bills (200–201, 274) | 7th Schedule | Residuary (अवशिष्ट) (248 / Entry 97) | When Centre legislates on State List (राज्य सूची) (249, 250, 252, 253, 356) | Pith / Colourable / Repugnancy / Harmonious / nexus / occupied field | Administrative Relations (256–261, 365, 339, 350A (अनु. 350A), 355) | Full Faith and Credit (261) | All-India Services (312, 312A, 1951 Act) | Financial Relations (268–271, 273, 276, 279, 285–289, 293) | Finance Commission (वित्त आयोग) (280, 1951 Act, 42%/41%) | Grants-in-Aid (273, 275, 282) | GST (वस्तु एवं सेवा कर) (dual, exclusions, 279A) | Freedom of Trade (पण्याध्यक्ष) (301–307) | Inter-State Migration (Union List (संघ सूची) 81) | NITI (नीति) / NDC **Inter-State mechanisms:** Inter-State Council (263) | Zonal Councils (SRA 1956) | NEC | River water (State 17 / Union 56 / Art. 262 / 1956 Acts) | Art. 131 | Border settlements | Rajamannar (1969) | Sarkaria (सरकारिया आयोग) (1983–88) | Punchhi (पुंछी आयोग) (2007–10) | Anandpur (आनंदपुर) Sahib / WB Memorandum | UP Central Zonal Council

Sources baked in: Laxmikanth (Centre–State), Constitution Parts XI–XIII, 7th Schedule, 101st Amd, FC Act 1951, ISWD Act 1956, SRA 1956, UPPCS Prelims PYQs 2018–2025 **Weight:** ★★★ — 7th Sch; AIS **2/3 present and voting** (2025); FC Chair+4 not NITI; GST **101st**; ISC = **Sarkaria 1990 not Punchhi** (2021); FC ≠ **263**; UP = **Central** Zonal Council; water **262 bars 131**; 2019 water Bill **lapsed Last verified:** September 2026 — Ghatnachakra Extra Drill (Centre–State Relations); teaching gap-pass from dump **Current Affairs:** 16th FC (**Arvind Panagariya**); GST **1 July 2017**; ISRWD Amendment Bill 2019 **not law**

Current Affairs

Year	Fact	Why asked
1 July 2017	GST operational	101st vs "GST Act year"
2022	*Mohit Minerals* — GST Council (जीएसटी परिषद) recommendatory	Binding vs cooperative
2023	**16th FC** under **Arvind Panagariya**	Chair matching; award **2026–31**
2021–26	15th FC (**N.K. Singh**)	vs 14th Y.V. Reddy
2025 PYQ	AIS 312 majority	present and voting (गणपूर्ति) ≠ total
14th / 15th FC	Vertical **42%** → **41%**	Devolution matching
1 Jan 2015	NITI replaces Planning Commission (योजना आयोग)	Extra-constitutional; ≠ **FC**
2019	NITI = nodal for **SDGs** (not FC)	2019 PYQ

Year	Fact	Why asked
Mar 2022	Assam–Meghalaya (मेघालय) border: **HM + CMs**	Inter-State dispute ≠ 131
2019	ISRWD Amendment Bill (permanent tribunal)	**LS only; lapsed — not law**
2018	SC Cauvery judgment / CWMA	Award ≠ 131 original

Frame — three Parts, one federal bargain

India is **federal with a Unitary bias**. Operating rules:

Part	Arts.	What
XI	**245–263**	Legislative (245–255) + Administrative (256–263)
XII	**264–300A**	Finance, property, contracts, borrowing (slice: **265–293** + GST)
XIII	**301–307**	Trade, commerce, intercourse

7th Schedule = **three lists**. Local government is still **State List Entry 5**. A 352 Emergency is the **trigger** for Art. **250** (Parliament on State List) and **354** (revenue distribution); 356 is President's Rule.

Legislative relations (Arts. 245–255)

Territorial reach (245) plus subject-matter lists (246) — the operating code of Union and State law-making.

- **245:** Parliament may legislate for the **whole or any part of India**; **extra-territorial** laws are valid (245(2)). A State legislates for the **whole or any part of the State**; extra-territorial State law needs **territorial nexus** (*Tata (तत) Iron*).
- **246:(1)** Union List exclusive to Parliament · **(2)** Concurrent — both · **(3)** State List exclusive to the State, **subject to (1) and (2)**. Union List is **non-obstante** over the other two.
- **246A (101st Amendment, 2016):** Concurrent GST power for Parliament and State legislatures, **notwithstanding** Arts. **246** and **254**. Clause (2) keeps **exclusive** Union power for GST on **inter-State** supply (paired with **Art. 269A**).
- **247:** Parliament may create extra courts for better Union-law administration.
- **248:** Residuary (including residuary **taxation**) is **Parliament's** — paired with Union List **Entry 97**. Cyber law, space research, and similar unforeseen heads sit here.
- **249:** RS resolution — **2/3 of members present and voting** that it is necessary in the **national interest** → Parliament may make law on a **State List** (राज्य सूची) item (and, after the 101st, also on GST under **246A** in that frame). Resolution lasts **1 year** (re-passable 1 year at a time). Law dies **6 months** after the resolution expires.
- **250:** While a Proclamation of Emergency is in force, Parliament may legislate on **any State List** item (and GST under **246A**). Law dies **6 months** after Emergency ends.

- **251:** If a 249/250 Union law clashes with a State law, **Union prevails**; the State law revives after the Union law ends, minus the inconsistency.
- **252:Two or more** State legislatures **pass resolutions** requesting Parliament. Law applies only to them; **other States may adopt** by resolution. **Amend / repeal = Parliament only**, not the State.
- **253:** Parliament may legislate for **whole or any part of India** to implement a **treaty / agreement / international conference** — even on a **State List** subject. **No** State consent.
- **254:** Repugnancy — own home below.
- **255:** Some Bills need prior recommendation / sanction of President or Governor; later assent can **cure** the defect.

> **Logic:** 249 and 312 share the **same RS special majority** — **2/3 present and voting**, **not** 2/3 of total membership (2025 AIS trap). 253 does **not** need a State request; 252 does.

Centre's hold on State legislation (not only 245–255)

Political Union bias on State Bills — Part XI is the lists; **Arts. 200–201** let the Governor **reserve** a State Bill and the President **kill** it.

- **Art. 200:** Governor may **reserve** a State Bill for the **President**.
- **Art. 201:** President may **assent / withhold / direct reconsideration**. If returned and passed again, the President **need not** assent (unlike the Governor after reconsideration).
- **Compulsory reservation** (practice + some Acts): Bills that **endanger HC powers**, certain **compulsory-acquisition** / 31A-class Bills, and Bills the Governor is **required** by the Constitution to reserve.
- **Previous sanction / recommendation:304(b)** trade restrictions; **274** Bills affecting taxation in which **States are interested**; State Money Bills need the **Governor's** recommendation.
- **255:** Missing prior recommendation/sanction can be **cured by later assent**.

> **Logic:** A State List subject is **not** enough. Even a competent State Bill can die on the President's table (**201**). That is legislative federalism, not "only 246".

Territorial nexus (doctrine, with 245): a State tax/law can catch an extra-State event if there is a **real connection** with the State (*Tata Iron & Steel*; *State of Bombay v R.M.D. Chamarbaugwala*). No nexus → extra-territorial and void.

Seventh Schedule — lists (entries)

Originally **Union 97 · State 66 · Concurrent 47**. Counts move with amendments; **learn identities, not a brittle total**.

42nd Amendment (1976) shifted **five** State List subjects to Concurrent:

1. **Education**

2. **Forests**
3. **Protection of wild animals and birds**
4. **Weights and measures** (except establishment of standards)
5. **Administration of justice**; constitution of all courts **except** SC and HCs

- **Union List:** Defence · foreign · currency / **RBI** · atomic · **railways** · airways · ports · posts & telegraphs · **banking · insurance · stock exchanges · census (69)** · UPSC (संघ लोक सेवा आयोग) · inter-State trade **(42)** · foreign trade **(41)** · **inter-State migration & quarantine (81)** · **inter-State rivers (56)** · income-tax (except agri) · customs · corporation tax · **residuary (97)**.
- **State List:Public order** · **police** · **local government (5)** · **public health & sanitation (6)** · agriculture · land · **water (17)** subject to Union **56** · intra-State trade **(26)** · intoxicating **liquor** · **betting and gambling** · **profession tax subject (60)** · public order ≠ "security of India" (that is Union).
- **Concurrent List:** Criminal law / CrPC · marriage & **succession (उत्तराधिकार क्रम) (5)** · **adulteration of foodstuffs and other goods (18)** · labour / factories · **electricity** · economic & social **planning** · **newspapers** · population (जनसंख्या) control · **preventive detention** · (post-42nd) **education, forests, wildlife, weights & measures, subordinate courts**.

Trade and commerce is not "just Concurrent." Foreign = Union 41; **inter-State = Union 42**; **intra-State = State 26**; Concurrent **33** is only trade in **foodstuffs / fodder / cotton / jute** etc.

Tax entries: the three lists used to keep **almost all taxes exclusive** (Union or State). The **Concurrent List had no independent tax head**. GST did **not** dump a tax into Concurrent — it created **246A** beside the lists. Stamp duties on Union-list instruments stay **268** (Union levy, State collect).

Public order (State) vs security of India (Union) and **police (State) vs Union agencies (CBI (केन्द्रीय अन्वेषण ब्यूरो) needs State consent except in Union territory / court-ordered)** are matching favourites. CBI consent = *Kazi Lhendup Dorji / Management of Advance Insurance* line; don't turn this into a CBI chapter.

PYQ — UPPCS Prelims 2024, Q143

The Concurrent list of the Indian Constitution includes:

1. Trade and Commerce
2. Adulteration of Goods
3. Succession

A. 1 and 3 B. 1, 2 and 3 C. Only 1 D. 2 and 3

Show answer

Ans: D — 2 and 3. Bare "Trade and Commerce" is **split across three lists**. Adulteration = Concurrent **18**. Succession = Concurrent **5**.

PYQ — UPPCS Prelims 2019, Q28

Which of the following is NOT correctly matched?

A. Public Health and Sanitation — State List B. Census — Union List C. Allocation of seats in the Council of States — Second Schedule D. Anti-Defection — Tenth Schedule

Show answer

Ans: C. RS seat allocation = **Fourth** Schedule. Second Schedule = **emoluments**. Census = Union **69**. Public health = State **6**.

Residuary powers (Art. 248 + Entry 97)

Leftover subjects and taxes belong to the Union — opposite of the **USA** (residuary with States).

- Residuary power belongs to the **Union / Parliament** under Art. **248**, paired with Union List **Entry 97**.
- It covers unlisted **subjects and taxes**.
- **GST is not residuary.** Art. **246A** is a **special** power inserted by the **101st Amendment**.
- If a matter is already in a list, 248 does not apply. Pith-and-substance decides the true list first.

When the Centre legislates on the State List

Route	Trigger	Life of the law
249	RS: national interest, **2/3 present and voting**	Resolution **1 year** (renewable); law lasts **6 months** after expiry
250	National Emergency **on**	**6 months** after Emergency ends
252	**Two or more** State legislatures request	Until **Parliament** amends/repeals; other States may **adopt**
253	Treaty / international conference	Ordinary Union law; **no** sunset
356	President's Rule	Parliament (or President) may make laws for that State; after revocation, State may **repeal/alter**

> **Logic:** 252 law **cannot** be amended by the requesting State. 249 is **Rajya Sabha's** exclusive federal lever (along with 312 AIS).

Four doctrines (+ two cousins)

Doctrine	What the court does	Typical result	Case fact
Pith and substance	Looks at the **true nature** of the law, not incidental trespass	**Saves** a law if the pith is in the right list	*Prafulla Kumar v Bank of Commerce, Khulna*; *State of Bombay v F.N. Balsara*

Doctrine	What the court does	Typical result	Case fact
Colourable legislation	**"What you cannot do directly, you cannot do indirectly."** Form ≠ substance	**Strikes** a fraud on legislative power	*K.C. Gajapati Narayan Deo v Odisha*
Repugnancy (254)	Two statutes on **Concurrent** cannot stand together, or Union law **occupies the field**	State law **void** to that extent — unless **254(2)**	*M. Karunanidhi v Union of India* (tests); *Hoechst Pharmaceuticals*
Harmonious construction	Two clauses of the **same** instrument both kept alive	Prefer the reading (रीडिंग) that kills **neither**	*CIT v Hindustan Bulk Carriers*; *Venkataramana Devaru*
Territorial nexus	Extra-State fact may still be taxed/regulated if linked to the State	Saves State extra-territorial reach	*Tata Iron*; *R.M.D. Chamarbaugwala*
Occupied field	Union Concurrent law intended to be a **complete code**	Even a non-clashing State law on the same field falls	A **species of 254**, not a fifth list

Repugnancy (Art. 254) — Concurrent List only

Clause	Rule
254(1)	State law **repugnant** to a Union law (existing or later) on a **Concurrent** matter → State law **void** to the extent of repugnancy
254(2)	If the State Bill was **reserved for the President** and received **assent**, the State law prevails **in that State** — **even if** it clashes with an earlier Union law. Parliament may still **re-legislate** and override
Direct collision	Obeying both is impossible
Occupied field	Union law covers the **whole field**; State law is extra even without a clause-by-clause clash

> **Logic:** 254 is **not** the tool for Union List vs State List — that is **246** (Union List wins). 254 = **two statutes on Concurrent**. Pith **saves**; colourable **strikes**; do not swap them. Eclipse (pre-1950 law goes dormant) / severability (only the bad clause dies) are Art. 13 doctrines.

Administrative relations (256–261, 365 + other direction Arts.)

How the Union executive can bind a State executive — comply, don't impede, take directions; ignore them and **365** opens the **356** gate.

- **256:** State executive **shall** comply with Parliament's laws and existing Union laws. Union **may give directions** to that end.

- **257(1):** State must **not impede** the Union executive.
- **257(2):** Union directions on **national / military communications**.
- **257(3):** Union directions so that **railways** are protected (means of communication of national or military importance).
- **257(4):** Extra **cost** of carrying out 257(2)/(3) directions is **borne by the Union** if the State so claims.
- **257A:Inserted 42nd, repealed 44th (44वां संशोधन)** — armed-forces assistance to States. **Gone**.
- **258(1):** President may, **with State consent**, **entrust** Union executive functions to the State / its officers.
- **258(2):** Parliament may confer powers/duties under a **Union law** on a State **even without** consent.
- **258A:7th Amendment (1956)** — a **State** may, with Union consent, entrust State executive functions to the Union.
- **261:Full faith and credit** — own home below.
- **365:** Ignore Union **directions** → President may hold that the State government **cannot be carried on** → **356** gateway.

Union directions are not only 256/257. Other "shall give directions" / duty articles (same 365 logic if disobeyed where the text is a direction):

- **339(2):** Union directions to a State on **ST welfare / Scheduled Areas** drawing.
- **350A:** Facilities for **mother-tongue** instruction at primary stage for linguistic-minority children.
- **347:** President may direct a language spoken by a section of a State's population to be **officially recognised** in that State.
- **355:** Union's **duty** to protect every State against **external aggression and internal disturbance**, and to ensure government is carried on per the Constitution (the **political** sister of 256; Punchhi: use **355 before 356**).

Integrated machinery (why Indian administration is not US-dual): - **Single** judiciary — State HCs apply Union+State law; SC on top. - **All-India Services** (next home) — one cadre, two masters. - **CAG** (भारत के नियंत्रक-महालेखापरीक्षक) audits Union **and** States. - Extra-constitutional coordination: **NITI Aayog** (नीति आयोग) (1 Jan **2015**, replaced Planning Commission) — Governing Council of CMs; **NDC** (1952, extra-constitutional, PM + CMs — largely moribund after NITI). **ISC / Zonal Councils** — own homes below.

> **Logic:** 258(1) needs **consent**; 258(2) does **not**. 258A is the **mirror** (State → Union) and is **not** original — **7th Amd**. NITI / NDC are **not** Art. 263.

Full faith and credit (Art. 261)

Recognition (मान्यता) and execution of public acts across India — not a dispute-settling court; do not bury it in the 256 home.

- **261(1):** Full faith and credit throughout India to **public acts, records and judicial proceedings** of the Union **and of every State**.
- **261(2):** Manner of proof and the **effect** thereof = as **Parliament** provides by law.
- **261(3):** Final civil judgments / orders of a State are **executable** anywhere in India as Parliament provides.

> **Logic:** 261 is **recognition / execution**, not a dispute-settling court. Inter-State / Centre–State **legal** disputes = **Art. 131**. Water disputes can be **barred** from SC by **262(2)**.

All-India Services (Art. 312)

One cadre, two masters — created only after a **Rajya Sabha** (राज्यसभा) resolution; existing three are **IAS · IPS · IFoS**.

- **Existing three:IAS · IPS · Indian Forest Service (IFoS)** — there is **no fourth** AIS yet.
- **Statute:All-India Services Act, 1951** (IAS & IPS). **IFoS** created **1966** under 312 (RS resolution + law).
- **Ancestor:ICS / IP** (colonial). IAS/IPS successor services from commencement.
- **Create a new AIS:Rajya Sabha** resolution that it is necessary / expedient in the **national interest** → **Parliament** may then provide by law.
- **Majority:Not less than two-thirds of members present and voting** — **not** 2/3 of **total membership** (सदन की कुल सदस्य संख्या का) (2025).
- **Control:Dual** — Union (cadre rules, discipline, **UPSC** (संघ लोक सेवा आयोग) recruitment, batch) + State (day-to-day posting). Centre can **suspend / dismiss** with procedure (प्रक्रिया); State cannot unilaterally kill the cadre.
- **312A:28th Amendment (1972)** — Parliament may vary / revoke **ICS** officers' conditions of service (old covenant). Not a fourth AIS.
- **AIJS:** Also under **312** — **not created**.
- **Exclusive RS:** Creation trigger is **Rajya Sabha-only** (2018). Lok Sabha (लोकसभा) cannot start it.

PYQ — UPPCS Prelims 2025, Q11

With reference to creation of new All India Service, which of the following statements is/are correct?

1. In the national interest, the Rajya Sabha can pass a resolution for creation of new All India Service.
2. The resolution for creation of new All India Service must be passed by the Rajya Sabha by two-third majority of the total members of the House.

A. Only 2 B. Neither 1 nor 2 C. Both 1 and 2 D. Only 1

Show answer

Ans: D — Only 1. Art. **312**: **2/3 of members present and voting**, not of **total membership**.

PYQ — UPPCS Prelims 2018, Q72

The Council of States has exclusive powers in relation to which of the following?

A. To initiate proceedings for the removal of the President B. To initiate proceedings for the removal of a judge of the Supreme Court C. To recommend (सिफारिश) creation of a new All India Service D. None of the above

Show answer

Ans: C — Art. 312. President's impeachment starts in **either** House. SC judge removal is **Parliament** (both Houses), not RS-exclusive.

Financial relations (Part XII — slice)

265: No tax shall be levied or collected except by **authority of law**.

Rule of exclusive tax fields: a tax in the Union List cannot be levied by a State, and vice versa. Pre-GST, the **Concurrent List carried no tax entry**. **246A** is the GST exception sitting (बैठक) **outside** that old map.

Four pipes (who levies / who keeps)

Who levies is not who keeps — four Union-to-State money pipes, plus taxes the Union **retains**.

- **Pipe 1 — Art. 268:Levied by Union, collected & appropriated by States.** Stamp duties on Union-list instruments; (old) Union excise on medicinal/toilet preparations.
- **Pipe 2 — Arts. 269 / 269A:Levied & collected by Union, assigned / shared with States.** Pre-GST inter-State sales; **IGST (269A)**.
- **Pipe 3 — Art. 270:Levied & collected by Union, distributed** (divisible pool; FC %). Income-tax (not agri), **CGST**, remaining Union excise as law provides.
- **Pipe 4 — Union retains:** Levied & collected by Union, **not shared**. **Customs**, **corporation tax**, **surcharge (271)**, most **cesses** unless a law puts them in 270.
- **268A** (service tax) — **deleted by 101st**.

Other money articles:

- **271:Surcharge** for **Union purposes** — **never** in the State share.
- **Cess vs surcharge:** Surcharge = 271, Union-kept. **Cess** is a **purpose-tied** levy by law; usually **not** in the FC divisible pool unless Parliament so provides.
- **273:** Grants **in lieu of export duty on jute products** to **Assam, Bihar, Odisha, West Bengal** — until Parliament otherwise provides (matching fossil; still in the text).
- **274:** A Bill **affecting a tax in which States are interested** needs the **President's prior recommendation**.
- **276:** State **profession tax**. Ceiling **₹2,500 / person / year** (**60th Amd 1988**; was ₹250).
- **279:"Net proceeds"** of a tax = proceeds minus cost of collection; certified by **CAG** — the figure the FC divides.
- **285:Union property** exempt from State tax (unless Parliament provides).
- **286:** State **cannot** tax **imports/exports** or (pre-GST) inter-State sale in the old CST sense; GST now rides **246A / 269A / 286 as amended**.
- **287–288:** Limits on State tax on **electricity / water** when it is Union property or used for Union railways etc.
- **289:State property and income** exempt from Union tax; Union **may** tax a State's **trade or business** if Parliament says so.

- **360:** Financial Emergency (वित्तीय आपात) → Union may **direct** States on financial propriety and reduction of salaries (never imposed).

Borrowing: Union **292** (security of CFI). State **293** — if indebted to the Union, **Union consent** for a fresh loan (the usual case; most States are).

Vertical share (raata):14th FC = 42% of the divisible pool to States · **15th FC = 41%** (1 point held back for new UTs J&K/Ladakh (लद्दाख) after reorganisation). Horizontal: **UP is the largest absolute (निरपेक्ष) / share-order recipient** (~**18%** of the State pool — don't freeze a third decimal).

> **Logic:** Corporation tax and customs are **not** 270-shared. Students dump "all Union taxes are shared" — false. Surcharge **271** ≠ GST compensation **cess**.

Finance Commission (Art. 280)

Constitutional tax-share body — President constitutes; Chair + 4; report to the **President**, not NITI.

- The Finance Commission is a **constitutional** body, constituted by the **President**.
- It is constituted on the expiration of every **fifth year**, or **earlier** if the President thinks necessary.
- Strength is **Chairman + four** other members (**not six** — 2023 trap).
- Qualifications are fixed by **Parliament** under the Finance Commission (Miscellaneous Provisions) Act, **1951** — **not** by the President (2021 A/R).
- The Chair must be a person experienced in **public affairs**.
- The **four** members are drawn, as the Act sets, from: (i) an **HC judge** or a person qualified to be one, (ii) **government finance / accounts**, (iii) **financial administration / financial matters**, and (iv) **economics**.
- The President does **not** invent these qualification tests.
- The **President** appoints the Chair and members. Qualifications and appointment are different facts.
- The Commission reports to the **President**, who lays the report in **Parliament** with an explanatory memorandum — **not** before NITI Aayog (2023).
- Its recommendations are **recommendatory**; government usually implements the **vertical** share, while the horizontal formula is political to tweak.
- The Finance Commission is **constitutional** (tax-share + Art. **275**). NITI is **executive** (think-tank / competitive federalism). NITI does **not** replace Art. **280**.

280(3) duties — recommend: 1. **Distribution** of net proceeds of taxes between Union and States, and **allocation among States** 2. Principles for **grants-in-aid** under **275** from the CFI 3. Measures to **augment the State's CFI** to supplement **Panchayat** resources (on SFC footing — **73rd**) 4. Same for **Municipalities** (**74th**) 5. Any **other matter** referred by the President in the interest of sound finance

Chairmen (matching fodder)

- **1st — K.C. Neogy** (1952–57).
- **11th — A.M. Khusro** (2000–05).
- **12th — C. Rangarajan** (2005–10).

- **13th — Vijay Kelkar** (2010–15).
- **14th — Y.V. Reddy** (2015–20).
- **15th — N.K. Singh** (2021–26, census-adjusted).
- **16th — Arvind Panagariya** (**2026–31**).

> **Logic:** Rajamannar chaired a **Tamil Nadu Centre–State committee**, **not** the 1st FC. Santhanam ≠ 1st FC. NITI Aayog is **extra-constitutional** (2018) and does **not** receive the FC report.

PYQ — UPPCS Prelims 2023, Q10

With reference to the Union Finance Commission, which of the following statement(s) is/are correct?

1. Finance Commission has a Chairman and six members.
2. It submits its report to the NITI Aayog.

A. Only 2 B. Both 1 and 2 C. Only 1 D. Neither 1 nor 2

Show answer

Ans: D. Chair + **four**. Report to the **President**.

PYQ — UPPCS Prelims 2021, Q68

Who among the following was the Chairman of the First Finance Commission of India?

A. Shri Santhanam B. Shri K.C. Neogy C. Dr. Raj Mannar D. Shri A.K. Chanda

Show answer

Ans: B — K.C. Neogy.

PYQ — UPPCS Prelims 2021, Q88Assertion (A): The President of India determines the qualifications of the Chairman and Members of the Finance Commission.

Reason (R): Chairman and members are appointed by the President of India.

A. Both (A) and (R) are true and (R) is the correct explanation of (A) B. Both (A) and (R) are true, but (R) is not the correct explanation of (A) C. (A) is true, but (R) is false D. (A) is false, but (R) is true

Show answer

Ans: D. Qualifications = **Parliament** (1951 Act). Appointment = **President**. R does not make A true.

PYQ — UPPCS Prelims 2025, Q64

Match List-I with List-II:

List-I

Code	Item
A	Eleventh
B	Twelfth
C	Thirteenth
D	Fourteenth

List-II

Code	Item
1	Dr. C. Rangarajan
2	Dr. Y.V. Reddy
3	Prof. A.M. Khusro
4	Dr. Vijay L. Kelkar

> Note: Row order in the tables is **not** the answer.

Select the correct answer using the code given below: A. A-3, B-1, C-4, D-2 B. A-2, B-3, C-4, D-1 C. A-3, B-2, C-1, D-4 D. A-1, B-3, C-2, D-4

Show answer

Ans: A — Khusro, Rangarajan, Kelkar, Y.V. Reddy.

PYQ — UPPCS Prelims 2021, Q61

The primary duty of the Finance Commission of India is

A. To give the recommendations on distribution of tax revenue between the Union and States B. To prepare the Union Annual Budget C. To advise the President on financial matters D. To allocate funds to various Ministries/Departments of the Union and State Governments

Show answer

Ans: A. Budget = Finance Ministry. Ministry allocation ≠ FC.

Grants-in-aid (275 vs 282)

Live channels of Centre→State money: tax devolution (**Art. 270** / Finance Commission), **grants-in-aid** (**275**, **282**), and **centrally sponsored schemes**. Plan transfers under the old **Gadgil formula** are **not** a present channel after the Planning Commission era ended.

	Art. 275	Art. 282
Who pays	Union, from **CFI**	Union **or** a State
Purpose	Grants-in-aid **to States** in need; **proviso**: grants for promoting welfare of **STs** / raising administration of **Scheduled Areas**	**Any public purpose**
FC	Principles **shall** be recommended by the FC	**Not** FC-mandated — **discretionary**
Charged?	**Charged** on the CFI	Ordinary expenditure
Nickname	Statutory / FC grants	Discretionary / miscellaneous grants

Other money pipes (don't mix): Union FC grants to **local bodies** ride on 280(3)(bb)/(c) + 275-style devolution, not a separate "local Art. 275". **SFC (243I/Y)** is the **State** analogue — Governor, every 5 years, PRIs and ULBs.

GST Council (101st Amendment + Arts. 246A, 269A, 279A)

Constitutional federal tax body — 101st (2016), GST day **1 July 2017**; Union FM chairs; Centre **1/3** + States **2/3**.

- **Model:Dual GST — CGST** (Centre) + **SGST/UTGST** (State/UT) on intra-State supply; **IGST** on inter-State supply **and imports**.
- **246A:** Special power (Union **and** States). **IGST** is Union-exclusive under **246A(2)**. **Not** residuary 248.
- **269A:** IGST levy/collection by Union; **apportionment** as Council recommends.
- **279A:GST Council — President** constitutes.
- **Chair:Union Finance Minister** (not PM, not a rotating CM).
- **Members:** Union **MoS Finance** + **State FMs** (and FMs of UTs **with legislature**). Vice-Chair from among the **State** members.
- **Weight / decision:** Centre **1/3** · all States together **2/3** · ≥ **3/4** of the **weighted** votes of members **present and voting**. Quorum = **half** of total members.
- **Job:** Rates, exemptions, model laws, special provisions (**NE / hilly**), threshold, floor rates with bands, when petroleum comes in.
- **Binding?** *Union of India v Mohit Minerals* (**2022**): recommendations **not** binding legislation.
- **Compensation:** Constitutional **5-year** compensation (ended **June 2022**); **compensation cess** lingered to repay back-to-back loans.

Outside GST (raata): - **Alcoholic liquor for human consumption** — State - **Five petroleum items** until Council recommends: **crude, petrol, diesel, natural gas, ATF** - **Stamp duty / property-related** State taxes as law stands; **electricity duty** typically outside

Subsumed (name-fact): VAT, CST, entry tax / octroi, luxury tax, entertainment tax (except local), central excise on goods (except the petroleum carve-out), service tax, SAD, CVD.

7th Schedule edits (101st): Union List **Entry 84** narrowed (excise); State List **Entry 54** narrowed (sale of goods); **Entry 92C** (service tax) **omitted**; **Entry 52** (entry tax) **omitted**.

PYQ — UPPCS Prelims 2024, Q45 / 2021, Q110

GST in India was introduced through which Constitutional Amendment Act?

A. 101st B. 91st C. 86th D. 73rd

Show answer

Ans: A — 101st. 86th = education FR/DPSP (राज्य के नीति निदेशक तत्व)/FD. 73rd = PRIs. 91st = Council of Ministers size.

Freedom of trade, commerce and intercourse (Arts. 301–307)

Part XIII overlay — trade, commerce and intercourse shall be **free throughout India**, subject to 302–305.

- **301:** Trade, commerce and intercourse shall be **free throughout the territory of India** (subject to 302–305).
- **302:Parliament** may impose **restrictions** in the **public interest**.
- **303:** Neither Parliament nor a State may give **preference** to one State or **discriminate** between States — **exception**: Parliament may, if a situation of **scarcity** of goods arises.
- **304(a):** State may tax goods from other States **if it also taxes similar State-made goods**, and not so as to **discriminate**.
- **304(b):** State may impose **reasonable restrictions** in the public interest — but only with the **previous sanction of the President**.
- **305:** Saves existing law and State **monopolies** created by law.
- **306:** Repealed (Part-B States).
- **307:** Parliament **may** appoint an **authority** to carry out 301–304 (none of standing all-India fame like the US Interstate Commerce Commission).

> **Logic:** 301 is **not** a Fundamental Right (Art. 19(1)(g) is the FR). A State **cannot** sneak a trade barrier through 304(b) without **prior** Presidential sanction. *Atiabari* (tax can burden 301) → *Automobile Transport* (compensatory tax OK) → *Jindal Stainless* (2016): compensatory-tax doctrine **discarded**; a tax is tested as a **restriction** under 304.

Interstate trade & commerce as a **list** matter = Union Entry **42** (inter-State) vs State Entry **26** (intra-State) vs Concurrent **33** (notified goods). Part XIII is the **freedom** overlay on top of those entries.

Inter-State migration

Union List Entry 81 — inter-State migration and quarantine are **Parliament's** subjects, not a State police leftover.

- **Union List Entry 81:Inter-State migration** and **inter-State quarantine**.
- **Art. 19(1)(d)(e):** Citizen's FR to **move** throughout India and **reside** anywhere in India — why settlement cannot be left as a State police matter alone.
- **Art. 16(3):** Parliament **may** prescribe **residence** inside a State/UT as a condition for **State/UT employment**.
- **Statute (name-fact):** Inter-State Migrant Workmen (Regulation of Employment and Conditions of Service) Act, **1979** (labour codes (चार श्रम संहिताएं) later subsume; PCS still asks the **1979** name).

Inter-State Council (Art. 263)

263 is "may", not "shall". The President **may** establish a Council if it appears that the public interest would be served, and **define** its duties, organisation and procedure.

Duties the President **may** charge (263):

- **(a)** Inquire into and **advise** upon **disputes between States**.
- **(b)** Investigate and **discuss** subjects of common interest (States among themselves, or Union + States).
- **(c)Recommend**, especially for **better coordination** of policy and action.

The President **may leave out (a)** — so the ISC need not be a dispute court. In the 1990 order, (a) is **not** the working core; it is a **discussion / coordination** forum.

- **Set up:28 May 1990** — **Presidential Order**, not an Act of Parliament. Sarkaria recommended it; **not** Punchhi (2021 trap).
- **Chair:Prime Minister**.
- **Members:CMs of all States** · CMs of UTs **with legislatures** · Administrators of other UTs · **Six** Union Cabinet Ministers nominated by the PM (Home is always in).
- **Standing Committee:Union Home Minister** chairs; selected CMs + Union ministers. Does the grind between rare full-Council meetings.
- **Secretariat:MHA**, New Delhi.
- **Nature:Constitutional body** (263) but **recommendatory**. Not a court; not GST Council; not NITI.
- **Practice:** Meets **infrequently** — a favourite "exists on paper" fact.

> **Logic:** ISC = **263 + Sarkaria + 1990 + PM**. Zonal Councils are **statutory (1956)**, chair = **Union Home Minister**, not PM. NITI is **executive**. Do not mix the three chairs.

PYQ — UPPCS Prelims 2021, Q8

On the recommendation of which Commission/Committee, the Inter-state Council was set up in India?

A. Punchhi Commission B. Rajmannar Committee C. Kothari Committee D. Sarkaria Commission

Show answer

Ans: D — Sarkaria. Rajamannar **also asked** for an ISC (1969) but the body that was **actually constituted in 1990** followed **Sarkaria (1988)**. Punchhi is **2007–10** (after the Council already existed). Kothari = education.

Zonal Councils

Statutory, not constitutional. Created by the **States Reorganisation Act, 1956** (Part III (मौलिक अधिकार)) as a **safety-valve** after linguistic reorganisation — Fazl Ali Commission background, not Art. 263.

Five zones (map):

- **Northern:** Haryana, HP, Punjab, Rajasthan, Delhi, Chandigarh, J&K, Ladakh.
- **Central:Uttar Pradesh**, Uttarakhand, Madhya Pradesh, Chhattisgarh.
- **Eastern:** Bihar, Jharkhand, Odisha, West Bengal.
- **Western:** Gujarat, Maharashtra, Goa (गोवा), Dadra (दादरा) & Nagar Haveli and Daman & Diu.
- **Southern:** AP, Telangana, Karnataka, Kerala, Tamil Nadu, Puducherry.

UP fact: Central Zonal Council — **not** Northern, **not** Eastern.

- **Common Chairman:Union Home Minister** (all five).
- **Vice-Chair:CM of the host State**, by **annual rotation**.
- **Members:** CM + **two other ministers** from each State in the zone; administrators of UTs.
- **Advisers (no vote):** NITI / Planning nominee · **Chief Secretaries** · Development Commissioners.
- **Standing committee:** Chief Secretaries of the zone.
- **Secretariat:** Zonal Council Secretariat, **MHA**.
- **Job:** Inter-State issues of the **zone**: economic & social planning, border, transport, river (discussion, not 262 tribunal), linguistic minorities, security.

North Eastern Council — do not count as a 6th zonal council

Separate 1971 statute — not SRA 1956, not a sixth zonal council.

- **Law:** North Eastern Council Act, **1971** (body from **1972**).
- **Members: Eight** NE States (Sikkim added by **2002** amendment) — each State's **Governor** and **Chief Minister**, plus **three** members nominated by the **President**.
- **Chair:** Nominated by the **President** (need not be drawn from the other members). In recent practice the **Union Home Minister** is **ex-officio Chairman** and the **DoNER** Minister is **ex-officio Vice-Chairman**.
- **Why separate:** Security + development of the NE; **not** SRA 1956.

> **Logic:** "There are six Zonal Councils including NEC" is **false**. **Five** zonal + **one** NEC. ISC = constitutional (**263**); Zonal Councils = statutory (**SRA 1956**); National Security Council = executive —

> only **one** of ISC / NSC (राष्ट्रीय सुरक्षा परिषद) / Zonal is created by the Constitution.

Forums at a glance (do not swap chairs)

- **Inter-State Council:** Art. **263** · order **1990** · chair **PM**.
- **Zonal Councils (5):SRA 1956** · chair **Union Home Minister**.
- **NEC:** NEC Act **1971** · chair **PM** (post-2002).
- **GST Council:** Art. **279A** · chair **Union FM**.
- **NITI Governing Council:** Executive **2015** · chair **PM**.
- **NDC:** Executive **1952** (moribund) · chair **PM**.

Inter-State river water disputes (Art. 262)

Adjudication article, not a third list — Parliament **may** set up a tribunal and **may bar** the courts.

- **262(1):** Parliament **may by law** provide for **adjudication** of disputes on **inter-State rivers / river valleys**.
- **262(2):** Parliament **may bar** the **Supreme Court and every other court** from such disputes.
- **Lists first (why 262 exists):Water** is **State List Entry 17** (irrigation, canals, water power…) **subject to Union List Entry 56** — Parliament may take **regulation and development of inter-State rivers / river valleys** into Union control by law. **262** is the **adjudication** article (Part XI).

Two 1956 statutes (do not merge):

Act	Job
Inter-State River Water Disputes Act, 1956	**Adjudication** — tribunal if Centre thinks negotiation failed. **s.11 bars courts** (so **131 is off**)
River Boards Act, 1956	**Advisory** boards for regulation/development — almost unused

How a tribunal is born (1956 Act as in force): State complains → Centre **negotiates** → if no settlement, Centre **must** constitute a tribunal (time-bound after the 2002 amendment: generally within a **year** of the complaint). Award: **3 years**, extendable **2 years**. After **2002**, the decision, once published in the Gazette, has the **same force as an SC order**. Parties may seek **explanation/guidance** from the same tribunal.

2019 Amendment Bill (permanent tribunal + Disputes Resolution Committee + 2+1 years): passed **Lok Sabha only**, **lapsed — not law**. Trap: “India now has a single permanent water tribunal.” **False**. Ad-hoc tribunals are still constituted per dispute under the 1956 Act.

Master Table — Inter-State River Water Disputes Tribunals (1956 Act)

No.	Tribunal Name (अधिकरण)	Year Set Up	Riparian States Involved (संबंधित राज्य)	Key Chairman / Status
1	**Krishna Water Disputes Tribunal-I**	**1969**	Maharashtra, Karnataka, Andhra Pradesh	Justice **R.S. Bachawat**; Award in 1973/1976
2	**Godavari Water Disputes Tribunal**	**1969**	Maharashtra, Andhra Pradesh, Karnataka, Madhya Pradesh, Odisha	Justice **R.S. Bachawat**; Final Award in 1980
3	**Narmada Water Disputes Tribunal**	**1969**	Gujarat, Madhya Pradesh, Maharashtra, Rajasthan	Justice **V. Ramaswami**; Sardar Sarovar allocations (1979)
4	**Ravi & Beas Waters Tribunal**	**1986**	Punjab, Haryana, Rajasthan	Justice **V. Balakrishna Eradi**; Eradi Tribunal (SYL canal dispute)
5	**Cauvery Water Disputes Tribunal**	**1990**	Tamil Nadu, Karnataka, Kerala, Puducherry	Justice **Chittatosh Mookerjee**; Final award 2007; SC modified 2018 (CWMA/CWRC formed)
6	**Krishna Water Disputes Tribunal-II**	**2004**	Maharashtra, Karnataka, Andhra Pradesh, Telangana	Justice **Brijesh Kumar**; Report 2010 (sub judice / Telangana re-reference)
7	**Vansadhara Water Disputes Tribunal**	**2010**	Andhra Pradesh & Odisha	Justice **Mukundakam Sharma**; Final report 2017/2019 (Katragadda / Neradi barrage)
8	**Mahadayi (Mandovi) Water Tribunal**	**2010**	Goa, Karnataka, Maharashtra	Justice **J.M. Panchal**; Award 2018 (Kalasa-Banduri project)
9	**Mahanadi Water Disputes Tribunal**	**2018**	Chhattisgarh & Odisha	Justice **A.M. Khanwilkar**; constituted March 2018 (ongoing)

UP angle: Yamuna (यमुना) sharing is handled through the **Upper Yamuna River Board** (UP, Uttarakhand, HP, Haryana, Delhi, Rajasthan) — a **statutory board**, not a 262 tribunal. Ganga (गंगा) is regulated through NMCG / National Ganga Council.

> **Logic:** "SC has original jurisdiction over river-water disputes" = **false**. Under **Article 262(2)** and **Section 11 of the 1956 Act**, the Supreme Court's **Article 131 original jurisdiction is completely barred**. SC can only intervene via **Article 136 (Special Leave Petition)** on substantial questions of law or basic human right to water, NOT as an original dispute arbiter.

Article 131 — Centre–State / Inter-State disputes

SC's exclusive original federal jurisdiction — Union↔State, Union+State(s)↔State(s), **State↔State**. Water is **262**; faith-and-credit is **261**; ISC is **263**.

- **What:** A question of **legal right** (law or fact). Not a purely **political** quarrel.
- **Cannot:** FR enforcement (→ **32**) · Union/State **vs a private person** · a company (कंपनी) just because government holds shares (*State of Bihar v UoI*).
- **Proviso:** Disputes from a **pre-Constitution treaty / agreement / sanad** are **out**, unless Parliament by law brings them in (those can go to **143(2)** advisory).
- **Water:262(2) + 1956 Act** = **barred**.
- **≠ 261:** 261 = **full faith / execution** of records and decrees, not a lawsuit in the SC.

> **Logic:** 131 is a **federal court** fact, not a writ fact. Two States fighting over a **boundary** or a **statutory due** can come here; two States fighting over **Cauvery water** cannot (tribunal).

Boundary disputes are **not** 262. They can be 131 **or** a political settlement. **Assam–Meghalaya (March 2022)** was signed by the **Union Home Minister + the two CMs** — not an SC 131 decree.

PYQ — UPPCS Prelims 2022, Q133

Who among the following signed the agreement to resolve the Assam–Meghalaya border dispute in March 2022?

A. Home Secretary of India and Chief Secretaries of Assam and Meghalaya B. Home Secretary of India and Director Generals of Police of Assam and Meghalaya C. Chief Ministers of Assam and Meghalaya D. Union Home Minister and Chief Ministers of Assam and Meghalaya

Show answer

Ans: D — Union HM + both CMs. Political settlement, not Art. 131.

Rajamannar Committee (1969)

Tamil Nadu (DMK). Chair: **P.V. Rajamannar** (former CJ, Madras HC). Members: **Dr A. Lakshmanaswami Mudaliar**, **P. Chandra Reddy**. Report **1971**. The **most State-tilted** of the three committees.

- Constitute an **Inter-State Council immediately** (asked **before** Sarkaria; the 1990 body still follows **Sarkaria**).
- **Residuary powers to the States** (opposite of 248 / Sarkaria).
- **Abolish IAS, IPS, IFS** as All-India Services.
- **Repeal Arts. 356, 357 and 360**.
- Curtail Union **directions — 256, 257, 339(2)**.
- Make the **Finance Commission permanent**; route all Union–State transfers through it (cut Planning Commission discretion).
- Shift several **Union and Concurrent** heads to the **State List**.
- Planning body to have **State representation**.

> **Logic:** First FC ≠ Rajamannar. He is a **TN Centre–State** chair, not K.C. Neogy.

Sarkaria Commission (1983–88)

Union Commission on Centre–State Relations. Chair: Justice **R.S. Sarkaria**. Members: **B. Sivaraman**, **Dr S.R. Sen**. Report **1988**. About **247** recommendations. **Cooperative federalism with a strong Centre** — the opposite pole to Rajamannar.

- A **strong Centre** is **necessary**; India is not the USA.
- **Residuary** (अवशिष्ट) power should stay with the **Union**.
- **All-India Services** should continue under dual control.
- The **Inter-State Council** should be set up under Art. **263** and preferably styled an **Inter-Governmental Council** — implemented on **28 May 1990** (2021 PYQ).
- Keep Art. **356**, but only as a **last resort**.
- Before 356: give a warning, hold a **floor test**, and put **material facts** in the proclamation — not for partisan use (*Bommai* later judicialised this).
- The Governor should be an eminent person from **outside** the State; the Centre should **consult the CM**; the Governor should not be a party worker on a mission.
- The Centre should **consult States** before legislating on the **Concurrent List** (समवर्ती सूची).
- **Zonal Councils** should be activated.
- The President should not sit endlessly on reserved State Bills.

> **Logic:** Sarkaria = **keep** AIS, **keep** 356, **keep** residuary with Union, **create ISC**. If the option says "weaken the Centre / abolish IAS", it is **Rajamannar**, not Sarkaria.

Punchhi Commission (2007–10)

Union Commission on Centre–State Relations. Chair: Justice **M.M. Punchhi** (former **CJI**). Report **2010**, **seven volumes**. After the ISC already existed — so **Punchhi did not "set up" the ISC** (2021 trap).

- Strengthen the **Inter-State Council**: meet about **thrice a year**; use it **before** Concurrent legislation and before Art. **356**.
- Prefer a **localised emergency** under Art. **355** — do not dissolve the **whole** State for a **district** disturbance.
- Keep Art. **356**, but make it tighter; keep **All-India Services**.
- On the Governor: prefer a fixed **five-year** idea; do not send an active politician of the ruling party at the Centre; use clear rules for inviting a CM (majority → coalition (गठबंधन) → largest party).
- Under Art. **201**, decide reserved State Bills within **six months**.
- Consult States when a **treaty** hits the **State List**.
- Strengthen National Integration Council / internal-security coordination with States (NCTC (एनसीटीसी) debate).

> **Logic:** Punchhi = **procedure** (प्रक्रिया), not Rajamannar's repeal list. "Local emergency" and "201 time-cap" are Punchhi tags.

Who wanted what (one line)

Issue	Rajamannar	Sarkaria	Punchhi
Residuary	**States**	**Union**	Union
AIS	**Abolish**	**Continue**	Continue
356	**Repeal**	Keep, last-resort	Keep; **localise** via 355
ISC	Create now	Create under **263** → **1990**	**Strengthen** (already exists)

Two often-matched memoranda

- **Anandpur Sahib Resolution (1973, Akali Dal):** Centre limited to defence, foreign, communications, currency; residuary **States** — more extreme than Rajamannar.
- **West Bengal Memorandum (1977, Left Front):** 19-point devolution; ISC; curb **356**; residuary States.

PYQ — UPPCS Prelims 2018, Q70

The recommendations of Sarkaria Commission relate to which of the following?

A. Distribution of revenue B. Power and functions of the President C. Membership of Parliament D. Centre-State relations

Show answer

Ans: D. Revenue is **FC**; don't reduce Sarkaria to one money chapter.

UP Special — federal machinery

- **Zonal Council:Central** — UP + Uttarakhand + MP + Chhattisgarh. Chair = **Union HM**.
- **Water:Upper Yamuna River Board** (UP, UK, HP, Haryana, Delhi, Rajasthan) — **not** a Cauvery-style 262 tribunal.
- **GST Council:** UP Finance Minister sits as a **State** member (States together = **2/3** weight).
- **15th FC:** UP is the **largest** horizontal recipient (~**18%** of the State pool — order, not a third decimal).
- **ISC:** UP CM is a member; PM chairs.

Mains link (one frame)

Federalism here is **not** "India is quasi-federal" again. Write **operating levers**: 249/252/253/356 on the State List · 256/257/365 directions · 271 surcharge vs 270 pool · GST Council weight **1/3–2/3** · ISC **263** vs Zonal **HM** vs water **262**. Close with *Mohit Minerals*: cooperation is political, not a judicial veto.